

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

<think>
First , the initial cost (the price he bought the house) was \$ 80 , 000 .
Josh invested an additional \$ 50 , 000 in renovations .
The total initial investment of Josh is \$ 80 , 000 + \$ 50 , 000 = \$ 130 , 000 .
The additional value that comes from renovations is 150 % increase in the house's value .
So if 150 % is added to the base of the increase value , we can find the 100 % based on this rate by :
(\$ 50 , 000 / 150 %) * 100 % = \$ 33 , 333 .
Adding the original value and the increased value (33 , 333) makes the current total value of the house :
Total value = Initial value of house + Increase value = 80 , 000 + 33 , 333 = 113 , 333 .
Josh 's profit equals the current total value of the house - initial investment :
113 , 333 - 130 , 000 = - 16 , 667 .
</think>
<answer>
- 16667 </answer>

